

CHAPTER 3

Mean-Variance Investing

Chapter Summary

Mean-variance investing is all about diversification. By exploiting the interaction of assets with each other, so one asset's gains can make up for another asset's losses, diversification allows investors to increase expected returns while reducing risks. In practice, mean-variance portfolios that constrain the mean, volatility, and correlation inputs to reduce sampling error have performed much better than unconstrained portfolios. These constrained special cases include equal-weighted, minimum variance, and risk parity portfolios.

1. Norway and Wal-Mart

On June 6, 2006, the Norwegian Ministry of Finance announced that the Norwegian sovereign wealth fund, officially called “The Norwegian Government Pension Fund—Global,” had sold Wal-Mart Stores Inc. on the basis of “serious/systematic violations of human rights and labor rights.”¹ As one of the largest funds in the world and a leader in ethical investing, Norway's decision to exclude Wal-Mart was immediately noticed. Benson Whitney, the U.S. ambassador to Norway, complained that the decision was arbitrarily based on unreliable research and unfairly singled out an American company. Wal-Mart disputed Norway's decision and sent two senior executives to plead its case before the Ministry of Finance.

Norway is one of the world's largest oil exporters. Norway first found oil in the North Sea in 1969 and quickly found that its resulting revenue was distorting its economy. During the 1970s and 1980s, Norway experienced many symptoms of the *Dutch disease* (see chapter 1), with growing oil revenues contributing to a less competitive and shrinking manufacturing sector. When oil prices slumped in the

¹ This is based on “The Norwegian Government Pension Fund: The Divestiture of Wal-Mart Stores Inc.,” Columbia CaseWorks, ID#080301. The quote is from Ministry of Finance press release No. 44 in 2006.